# Case Study Prep: Southwest's Q3 2026 Print

AIPI 590: Alternative Data.

Pre-read and work packet for Case Study Debate & Alternative Data Simulation on Wednesday, October 28, 2026.

## Logistics at a glance

Four teams forecast two figures that Southwest Airlines reports on October 21, then present and debate them in class on October 28. Each student should spend 3 to 4 hours outside class.

| When | What happens | Who |
|---|---|---|
| Oct 16, 2026 | Packet, starter files and team list are released on the course site. | TA |
| October 16 to 21 | Reading and the build. | Each team |
| Oct 21, 2026, 12:00 noon Eastern (Before market closes) | The forecast form closes. One submission per team. | Each team |
| October 21, after the market closes | Southwest reports its third quarter results. | Southwest |
| Oct 28, 2026, before class | Slides (optional)- Have a PoV on your approach, challenges for forecast. I have provided some starter questions | Each team |
| Oct 28, 2026, in class | A 75 minute session: results reveal, team readouts, debate and a decision exercise. | Everyone |

Suggestive time commitment required: Each member takes one role, described under Your team's work.

| Task | Time per student |
|---|---|
| Reading: the timeline, the numbers table and the four starred articles (optional) | 45 minutes |
| Your role's part of the build | 1.5 to 2 hours |
| A team call to combine results and submit the form | 30 minutes |

| Task | Time per student |
|---|---|
| After October 21: compare forecast with actual and prepare your PoV | 30 minutes |
| Total | 3 to 4 hours |

## What this session is

In Week 6 you watched Maya build a weekly read on Chipotle. In this case you build a small version yourselves, on a company whose number does not exist yet. The focus is to see how you approach and not the forecast accuracy or the model sophistication.

The 75 minute session has four parts: a reveal of the actual figures against every team's locked forecast, team readouts on approach and PoV, a structured debate, and a short decision exercise.

Southwest is a useful test because its revenue and its passenger count now move in opposite directions. In the second quarter of 2026 the airline carried 3.3% fewer revenue passengers and reported 16.4% more operating revenue. A pipeline that counts people will get the direction wrong unless it also explains price.

You do not need to read every article. Read the timeline, the numbers table and the four starred articles (optional) if you wish to.

## The story so far: a timeline

Southwest changed its business model between May 2025 and January 2026. A fuel shock and a federal funding lapse then hit the same quarters, so three causes overlap in the data.

| Date | What happened | Source |
|---|---|---|
| Before 2025 | Southwest sells one cabin with open seating and free checked bags. | Straight Arrow News |
| Oct 24, 2024 | Southwest settles with activist investor Elliott Investment Management. Six new directors join the board and chief executive Bob Jordan stays. Elliott had sought to replace Jordan and most of the board. | Fortune, AP |
| Q2 2025 | Southwest terminates its remaining fuel hedging contracts. | Southwest Q3 2025 release |
| May 28, 2025 | Checked bag fees begin for tickets booked from this date: | Straight Arrow News, Islands |

| Date | What happened | Source |
|---|---|---|
| | $35 for the first bag and $45 for the second. | |
| Jul 6, 2025 | Jordan tells the New York Times that some customers are not happy and that many are. | Men's Journal, citing the Times |
| Jul 21, 2025 | Southwest announces assigned seating and three seat types, starting January 27, 2026. | Straight Arrow News |
| Oct 22, 2025 | Q3 2025 results. Unit revenue rises 0.4%, revenue passengers fall 2.6% and average fare is $182.56. | Southwest Q3 2025 release |
| Oct to Nov 2025 | A 43 day federal shutdown. About 1,110 TSA officers leave the agency. | AAAE hearing report |
| Jan 27, 2026 | Assigned seating and extra legroom seats begin. Six seats have been removed from each Boeing 737-700 to make room. | Straight Arrow News, Southwest Q2 2026 release |
| Feb 14, 2026 | A Department of Homeland Security funding lapse begins. TSA officers work without pay. | AirHelp, PBS |
| Late Feb to early Mar 2026 | Conflict involving Iran shuts shipping through the Strait of Hormuz and jet fuel prices spike. US airlines pay $4.09 per gallon in May, up $1.88 from a year earlier. | Energy Intelligence, SJV Sun |
| Mar 25, 2026 | TSA's acting administrator tells Congress that call out rates rose from 4% to 11% nationwide and that some waits exceeded 4.5 hours. | AAAE hearing report |
| Apr 22, 2026 | Q1 2026 results. Unit revenue rises 11.2% and average fare rises 16.6%. Revenue passengers fall 2.7%. | Southwest Q1 2026 release |

| Date | What happened | Source |
|---|---|---|
| Apr 30, 2026 | The funding lapse ends when the funding bill is signed. | PBS |
| Mar to May 2026 | Upgraded Points reports that average daily TSA throughput is 6.7% below the same months of 2025, and that May is 9.8% lower. | Upgraded Points |
| Jul 22, 2026 | Q2 2026 results. Operating revenue is a record $8.4 billion, up 16.4%. Revenue passengers fall 3.3% and average fare rises 20.9%. Fuel expense rises $889 million. Full year earnings guidance changes from at least $4.00 per share to a range of $3.25 to $4.25. Shares fall after hours. | Southwest Q2 2026 release, Benzinga |
| Jul 23, 2026 | On the earnings call, chief executive Bob Jordan attributes the significant portion of the unit revenue gain to Southwest's own initiatives. Management says Q3 growth is held back by the comparison with a quarter that already had bag fees. | Call transcript |
| Aug 31, 2026 | AeroCorner reports that the airline fares index in the Consumer Price Index was up 25.5% over the year in July, against 3.4% for all prices. The Bureau of Labor Statistics had reported 20.7% for April. | AeroCorner, BLS |
| Sep 16, 2026 | Chief financial officer Tom Doxey says at the Morgan Stanley Laguna Conference that Southwest can still reach its Q3 earnings guidance despite higher fuel cost. | Conference transcript |

| Date | What happened | Source |
|---|---|---|
| Oct 21, 2026 | Q3 2026 results, after the market closes. The call is at 10:00 AM Eastern on October 22. | Southwest announcement, Kalshi |

## The numbers on the table

Revenue passengers fell in each of the last three reported quarters while fare and unit revenue rose. Percentages in brackets are changes against the same quarter one year earlier.

| Metric | Q3 2025 | Q1 2026 | Q2 2026 | Q3 2026 guidance |
|---|---|---|---|---|
| Operating revenue ($ millions) | 6,949 (up 1.1%) | 7,249 (up 12.8%) | 8,432 (up 16.4%) | None given |
| Revenue passengers carried (000s) | 34,581 (down 2.6%) | 29,175 (down 2.7%) | 34,331 (down 3.3%) | None given |
| Enplaned passengers (000s) | 43,806 (down 2.0%) | 37,277 (up 0.4%) | 44,518 (up 0.3%) | None given |
| Average passenger fare | $182.56 (up 3.7%) | $225.93 (up 16.6%) | $225.61 (up 20.9%) | None given |
| Capacity, ASMs (millions) | 45,567 (up 0.8%) | 42,049 (up 1.5%) | 47,093 (up 0.2%) | Down 1% to flat |
| Load factor | 79.8% | 74.1% | 79.3% | None given |
| RASM (cents) | 15.25 (up 0.4%) | 17.24 (up 11.2%) | 17.91 (up 16.2%) | Up 17.5% to 19.5% |
| Fuel cost per gallon | $2.40 | $2.73 | $3.92 | $3.70 to $3.75 |
| Adjusted earnings per share | $0.11 | $0.45 | $0.94 | $0.50 to $0.75 |

Sources: Southwest earnings releases for Q3 2025, Q1 2026 and Q2 2026.

Terms: an available seat mile (ASM) is one seat flown one mile. RASM is operating revenue divided by ASMs. Load factor is the share of seat miles filled by paying passengers. A revenue passenger is counted once per one way trip. An enplaned passenger is counted once per flight boarded, so a connecting trip counts twice.

Q2 2026 RASM rose 16.2% as reported and 20.1% after excluding a $285 million accounting adjustment. Q1 2026 unit revenue rose 11.2% in a quarter when fuel cost per gallon rose 9.6%, before most of the fuel shock.

## The reading list

Articles are grouped by theme so you can see how each maps to the course. The four articles marked * are required. The rest are optional.

### 1. The flashpoint: Southwest rewrites its business model

*Relevant to: investment research introduction*

- **Fortune:** Southwest strikes deal with Elliott, adds six new board members. Read for: why an airline that had sold one product for decades changed it, and who pushed.
- **Straight Arrow News:** Here's when Southwest Airlines will officially end its open seating policy. Read for: the dates and mechanics of bag fees, fare bundles and assigned seating.
- **Islands:** Southwest Finally Addresses Customer Backlash Over Latest Policy Changes. Read for: the chief executive's own account of why the changes were made.

### 2. The evidence: what the company has reported

*Relevant to: the number your forecast tries to match*

- **Southwest Investor Relations *:** Southwest Airlines Reports Second Quarter 2026 Results. Read for: the Q3 guidance table, the operating statistics table and the $285 million adjustment.
- **Investing.com:** Earnings call transcript: Southwest beats Q2 2026 EPS but shares fall on revenue miss. Read for: management's claim that its own initiatives explain most of the revenue gain, and the analyst questions that test it.
- **Benzinga:** Southwest Airlines Stock Slides as Q3 Guidance Comes in Light. Read for: how the market read the same release.
- **Southwest Investor Relations:** Third quarter 2025 results and first quarter 2026 results. Read for: the year ago base and the last quarter before the fuel shock.
- **Southwest Investor Relations:** Airline Glossary. Read for: exact definitions of every metric in this packet.

### 3. The confounder: the 2026 fuel shock and industry fares

*Relevant to: normalisation and regime change*

- **AeroCorner *:** Why Are Flights So Expensive? Read for: the case that fares rose across the whole industry, which competes with Southwest's own explanation.
- **SJV Sun:** Airlines' fuel bills surge by $3 billion in May. Read for: Bureau of Transportation Statistics figures on fuel cost per gallon by month.

### 4. The signal: TSA checkpoint data and what broke it

*Relevant to: types of alternative data, acquisition and cleaning*

- **Upgraded Points *:** Which Airports Were Most Impacted by the TSA Funding Lapse? Read for: an airport showing a 76.9% drop that the authors attribute partly to data collection, and their caveat that throughput does not measure demand directly.
- **American Association of Airport Executives:** Hearing report on the DHS shutdown. Read for: TSA's own testimony on call out rates, lane consolidation and wait times.
- **AirHelp:** TSA pay lapse and US airport security delays. Read for: dated absence rates you can match against the daily series.
- **TSA:** FOIA Electronic Reading Room and its data.gov entry. Read for: what the airport level files contain and how they are published.

### 5. Who else has it: the market's view

*Relevant to: Building a strategy using model outputs*

- **Kalshi *:** Southwest Airlines average passenger fare in Q3 and the company page. Read for: a public, priced forecast of one of your targets. Use it as a benchmark only. You are not asked to open an account or trade.
- **Octagon AI:** Southwest Airlines seats flown in Q3. Read for: a published model that disagrees with the market, and its reasoning.
- **Investing.com:** Southwest Airlines at Morgan Stanley's 14th Annual Laguna Conference. Read for: the chief financial officer's September 16 comments on third quarter earnings, fuel and capacity. This is the latest company statement before the results.

### 6. A skeptical take

*Relevant to: ethics and explainability*

- **The Federalist:** The Verdict Is In: Everyone Hates Southwest's New Seat And Boarding Rules. Read for: the strongest version of the claim that loyal customers are leaving. This is an opinion piece. Ask what data would confirm or refute it.

### 7. The print (available October 21)

- **Southwest Investor Relations:** Press releases. Read for: the third quarter 2026 release. Do not open it before your forecast is locked.

## Your team's work (3 to 4 hours each)

You are analysts at an alternative data vendor. A hedge fund client holds Southwest Airlines (NYSE: LUV) into its third quarter results and wants a read before October 21, built only from public data.

### What you forecast

Forecast two figures Southwest will report for Q3 2026 (July to September). The company gives guidance for neither.

1. Revenue passengers carried, in thousands. Q3 2025 was 34,581.
2. Average passenger fare, in dollars. Q3 2025 was $182.56.

For each figure, give a point forecast and an 80% interval. Then multiply the two. Southwest defines average fare as passenger revenue divided by revenue passengers, so the product is your passenger revenue forecast.

Check that product against guidance. The guided unit revenue and capacity ranges imply Q3 operating revenue of about $8.08 to $8.30 billion, and passenger revenue was about 92% of operating revenue in Q2 2026. If your figure falls outside that range, don't worry just say why.

**Optional.** Forecast Southwest's closing share price on Thursday, October 22, the first full trading day after the results. The entire case study is supposed to be a fun activity so do not worry about getting wrong. We will not lose money

### Data

To assist with your analysis, I am providing you with the following data files with explanations of what it has. You do not have to use all files and you can use any other public data which you think can be a signal. What we are interested to know is if you used any of these files, what challenges you faced (if any) and what data cleaning or analysis assumptions and steps you took. Remember unlike the real world, being inaccurate here will not be penalized so feel free to think creatively

| File | What it gives you | Known problem |
|---|---|---|
| `tsa_daily_checkpoint_2019-01-01_2026-09-30.csv` | 2,830 days of passengers screened nationally at TSA checkpoints | All airlines combined. Two funding lapse periods distort the count. |
| `southwest_quarterly_stats_2019Q1_2026Q2.csv` | 30 quarters of Southwest's reported figures, including both targets | Includes the 2020 collapse. Figures for 2019, 2021, 2023 and the first half of 2025 come from the prior year columns of later releases. |
| `bls_airline_fares_cpi_CUUR0000SETG01_2018-01_2026-09.csv` | 105 months of the BLS airline fare index, including taxes, fuel surcharges and the first checked bag fee | All carriers combined, and monthly. Prices are quotes for trips booked in advance, so a month can reflect later travel dates. Seat selection fees are not listed as included. October 2025 is blank in the source, during the federal shutdown. |
| `eia_jet_fuel_gulf_coast_daily_DJFUELUSGULF_2019-01-01_2026-09-30.csv` | 2,022 weekdays of the US Gulf Coast kerosene-type jet fuel spot price, in dollars per gallon | A wholesale market price, not what Southwest pays: its reported cost adds taxes, delivery and hedging, and runs about 30 cents above spot in Q2 2026. 87 market holidays are |

| File | What it gives you | Known problem |
|---|---|---|
| | | blank. |
| `google_trends_southwest_airlines_US_monthly_2019-01_2026-09.csv`<br><br>`google_trends_southwest_airlines_US_weekly_2021-10-03_2026-09-27.csv` | US search interest in "southwest airlines": 93 months from 2019, and 261 weeks for the last five years | An index from 0 to 100, scaled to the peak of each file's own window, so the two files are on different scales. Google samples searches, so a fresh pull gives slightly different numbers. Disruptions such as the December 2022 meltdown produce the biggest spikes. |
| `bts_t100_domestic_segment_southwest_WN_monthly_2019-01_2026-07.csv` | 91 months of Southwest's own domestic flights, seats, passengers and seat miles as filed with the Department of Transportation, through July 2026 | Domestic only, about 97% of Southwest's capacity. Segment passengers are counted once per flight, so they track enplaned passengers rather than revenue passengers. Published about three months late, so it covers only July of Q3. Recent months can be revised. |

The T-100 file: BTS publishes one row per route, carrier and month, and this file keeps only Southwest's (carrier code WN) rows and sums them by month. There is some data cleansing and missing data handling that you will have a chance to do here.

Sources: the TSA passenger volumes pages, Southwest's earnings releases (named on every row), FRED series CUUR0000SETG01, EIA's spot price via FRED series DJFUELUSGULF, Google Trends and the BTS T-100 Domestic Segment table. Retrieved October 6 and October 16, 2026.

Beyond these files, you may use any other free and public source you like, for example TSA's airport level throughput files in its FOIA reading room, other search terms in Google Trends, or the T-100 data for other airlines. Just add it in your Point of View slides or commentary when you discuss about this in class.

### Columns and a first look at each file

**TSA file**, one row per day:

| Column | Meaning | Unit |
|---|---|---|
| `date` | Calendar date | YYYY-MM-DD |
| `passengers_screened` | Travelers screened at TSA checkpoints nationwide that | People |

| Column | Meaning | Unit |
|---|---|---|
| | day | |

First three and last two rows:

```
date,passengers_screened
2019-01-01,2201765
2019-01-02,2424225
2019-01-03,2279384
2026-09-29,1974631
2026-09-30,2205144
```

**Southwest file**, one row per quarter:

| Column | Meaning | Unit |
|---|---|---|
| `quarter` | Calendar quarter | e.g. 2026Q2 |
| `period_end` | Last day of the quarter | YYYY-MM-DD |
| `passenger_revenue_musd` | Passenger revenue | $ millions |
| `operating_revenue_musd` | Total operating revenue | $ millions |
| `revenue_passengers_000` | Revenue passengers carried: paying origin and destination passengers (target 1) | Thousands |
| `enplaned_passengers_000` | Passengers boarded, counted once per flight | Thousands |
| `rpm_millions` | Revenue passenger miles | Millions |
| `asm_millions` | Available seat miles, the measure of capacity | Millions |
| `load_factor_pct` | Revenue passenger miles divided by available seat miles | % |
| `avg_passenger_haul_miles` | Average trip length per revenue passenger | Miles |
| `trips_flown` | One way nonstop flights | Flights |
| `seats_flown_000` | Seats flown | Thousands |
| `avg_passenger_fare_usd` | Passenger revenue per revenue passenger (target 2) | $ |
| `yield_cents_per_rpm` | Passenger revenue per revenue passenger mile | Cents |
| `rasm_cents` | Operating revenue per available | Cents |

| Column | Meaning | Unit |
|---|---|---|
| | seat mile (bonus target) | |
| prasm_cents | Passenger revenue per available seat mile | Cents |
| fuel_per_gallon_unhedged_usd | Fuel cost per gallon including tax, before hedging | $ |
| fuel_per_gallon_usd | Fuel cost per gallon including tax, as reported | $ |
| fuel_per_gallon_economic_usd | Fuel cost per gallon including tax, economic basis. Blank where the release does not print it. | $ |
| fuel_gallons_millions | Fuel consumed | Million gallons |
| aircraft_end_of_period | Fleet size at quarter end | Aircraft |
| source | The release the row was copied from | Text |
| note | Special items affecting the row | Text |

First and last rows:

```
quarter,period_end,passenger_revenue_musd,operating_revenue_musd,revenue_passengers_000,enplaned_passengers_000,rpm_millions,asm_millions,load_factor_pct,avg_passenger_haul_miles,trips_flown,seats_flown_000,avg_passenger_fare_usd,yield_cents_per_rpm,rasm_cents,prasm_cents,fuel_per_gallon_unhedged_usd,fuel_per_gallon_usd,fuel_per_gallon_economic_usd,fuel_gallons_millions,aircraft_end_of_period,source,note
2019Q1,2019-03-31,4745,5149,31296,37813,30704,37885,81.0,981,326390,49473,151.61,15.45,13.59,12.52,2.03,2.05,2.05,493,753,"Q1 2020 release, prior year column",
2026Q2,2026-06-30,7745,8432,34331,44518,37346,47093,79.3,1088,367740,59009,225.61,20.74,17.91,16.45,3.87,3.92,,564,803,Q2 2026 release,Reported revenue is after a $285M breakage revenue reversal. RASM excluding special items was 18.51 cents.
```

**Fare index file**, one row per month:

| Column | Meaning | Unit |
|---|---|---|
| observation_date | First day of the month the index covers | YYYY-MM-DD |
| CUUR0000SETG01 | Airline fares index, US city average, not seasonally adjusted | Index, 1982 to 1984 = 100 |

Selected rows, including the blank month:

```
observation_date,CUUR0000SETG01
2018-01-01,255.496
2025-09-01,258.027
2025-10-01,
2025-11-01,254.924
2026-09-01,315.948
```

**Jet fuel file**, one row per weekday:

| Column | Meaning | Unit |
|---|---|---|
| `observation_date` | Trading day | YYYY-MM-DD |
| `DJFUELUSGULF` | US Gulf Coast kerosene-type jet fuel spot price, free on board. Blank on market holidays. | $ per gallon |

First three and last two rows:

```
observation_date,DJFUELUSGULF
2019-01-01,
2019-01-02,1.607
2019-01-03,1.658
2026-09-29,4.399
2026-09-30,4.677
```

**Google Trends files**, one row per month or per week:

| Column | Meaning | Unit |
|---|---|---|
| `month` (monthly file) | Month covered | YYYY-MM |
| `week_start_sunday` (weekly file) | Sunday that starts the week | YYYY-MM-DD |
| `interest_southwest_airlines` | Search interest in "southwest airlines" in the US, relative to the busiest month or week in that file | Index, peak = 100 |

First three and last two rows of each:

```
month,interest_southwest_airlines
2019-01,79
2019-02,83
2019-03,95
2026-08,34
2026-09,31
```

```
week_start_sunday,interest_southwest_airlines
2021-10-03,39
2021-10-10,86
2021-10-17,41
2026-09-20,17
2026-09-27,18
```

**T-100 file**, one row per month, Southwest's scheduled passenger flights within the US:

| Column | Meaning | Unit |
|---|---|---|
| `month` | Month covered | YYYY-MM |
| `departures_scheduled` | Flights scheduled | Flights |
| `departures_performed` | Flights actually flown | Flights |
| `seats` | Seats on the flights flown | Seats |
| `segment_passengers` | Passengers on each nonstop flight, so a connecting traveller counts twice | People |
| `asm` | Available seat miles: seats times flight distance | Seat miles |
| `rpm` | Revenue passenger miles: passengers times flight distance | Passenger miles |
| `load_factor_pct` | `rpm` divided by `asm`, computed from the two columns | % |
| `segment_passengers_all_classes` | `segment_passengers` plus charter flights | People |

First three and last two rows:

```
month,departures_scheduled,departures_performed,seats,segment_passengers,asm,rpm,load_factor_pct,segment_passengers_all_classes
2019-01,111312,107469,16325603,11895252,12274355772,9331409861,76.0,11900098
2019-02,99500,95150,14467474,11319180,10890680657,8799336856,80.8,11319734
2019-03,119413,114234,17252774,14322204,13253089620,11354237453,85.7,14325015
2026-06,120933,120536,19375288,15359888,15425235374,12800476463,83.0,15362503
2026-07,124994,124028,19958534,15377014,15832052792,12825543360,81.0,15377434
```

### Roles

Each role takes about 1.5 to 2 hours. In a team of three, Evaluation also covers Integration.

| Role | What you do | What you hand the team |
|---|---|---|
| Traffic | Clean the TSA daily series, flag the two funding lapse periods, sum it to quarters, and relate it to Southwest's revenue passengers. | A Q3 passenger forecast with an 80% interval |
| Price | Relate the BLS fare index to Southwest's average fare across | A Q3 fare forecast with an 80% interval |

| Role | What you do | What you hand the team |
|---|---|---|
| | past quarters. | |
| Evaluation | Compute the baselines, and backtest the traffic and price methods quarter by quarter from 2022 to Q2 2026. | A backtest table by period |
| Integration (teams of four) | Combine the two forecasts, run the passenger revenue check against guidance, submit the form and assemble the slides. | The submitted form and the slide deck |
| | | |

### Suggested approach

- Our forecast will just try to beat two baselines for each target: The first is the same quarter last year: 34.58 million passengers and $182.56. The second is last year's figure scaled by the Q2 2026 year-over-year change: about 33.44 million passengers and $220.67.
- Report back test errors if you did and found, so that 2022 to 2024 and the 2025 to 2026 fee change appear separately.
- Write down the cleaning decision and its reason.
- Decomposition and SARIMA are optional

### Rules

- Use free and public data only.
- Nothing published after the form closes may enter your model.
- State which reported count your TSA figures measure. Revenue passengers carried and enplaned passengers are different figures.
- You are not asked to open a market account or trade. You may cite Kalshi prices as a benchmark.

### What you submit

1. The forecast form, one per team, by 12:00 noon on October 21: two point forecasts, two 80% intervals, the implied passenger revenue, Southwest stock price (optional)- I will circulate a form
2. Slides, five at most, uploaded by 11:59 PM on October 27: forecast against actual, data and cleaning decisions, model and baselines, backtest by period, and what you got wrong and why.

## Some questions that you may want to consider for your PoV commentary or slides

You do not need to write these up formally. Come with a point of view. Also you need not answer all and definitely can have a PoV outside these

- What changed at Southwest between May 2025 and January 2026, and which of those changes alter what a passenger count can tell you about revenue?

- Management attributes most of the unit revenue gain to its own initiatives. Industry fares rose in the same months. What evidence would separate the two, and which public source carries it?
- Average daily TSA throughput fell 6.7% in March to May 2026. Was that demand, screening capacity or data collection? What do you do with those rows?
- Which reported figure does a checkpoint count come closest to? Why does it matter that revenue passengers fell 3.3% in Q2 2026 while enplaned passengers rose 0.3%?
- Guidance pins passenger revenue to a narrow band. What does splitting it into passengers and fare tell you that the band does not?
- After the October 21 results: would you sell this signal to a client, and under what conditions would you tell the client not to trust it?

## In class on October 28 (75 minutes)

| Time | Part | What happens |
|---|---|---|
| 0:00 to 0:05 | Reveal | The TA shows Southwest's reported figures next to every team's locked forecast. |
| 0:05 to 0:37 | Team readouts | Four teams, 6 minutes each plus 2 minutes of questions |
| 0:37 to 0:57 | Debate | An open debate: Teams assigned to factions. 3 minutes to prepare, a 2 minute opening per faction, 6 minutes of questions, a 1 minute closing per faction, then a show of hands. |
| 0:57 to 1:08 | Decision | Back in teams - Ships Southwest signal for Q4 2026 and what its regime flag says or not. One person per team then presents the final decision and why, in 90 seconds. |
| 1:08 to 1:15 | Close | The TA summarizes what the results showed. Any time left is buffer. |

The debate motion is: a signal built from free public data on Southwest is good enough to sell to a client.

| Faction | Position |
|---|---|
| Team Ship | The signal clears the bar. Sell it. |

| Faction | Position |
| --- | --- |
| Team Kill | The signal fails where it matters. Do not sell it. |
| Team Flag | Sell it only with a regime flag and stated conditions for when it is downgraded. |

We will be assigning teams to factions. You can use evidence from any team's readout and presentation.